

→ Tech Management

→ Innovator's Dilemma

PART 1:- THE BASIC PUZZLE

Why do big companies fail even they doing everything RIGHT. This is Innovator's Dilemma.

PART 2:- WHY STUDY DISK DRIVES

Fruit flies:- Scientist learns fruit flies because they are born & die quickly
This lets scientists learn about many generations fast.

Disk drives are like fruit flies; how companies live and die → study disk drive

PART 3:- TWO TYPES OF INNOVATION

THE Mudslide Hypothesis (Wrong Idea)

Old thinking:- Companies fails because technology changes too fast. If you stop running, you get buried like in a mudslide

What Christensen discovered:- This is WRONG. They failed for different reason.

Sustaining Innovation

Disruptive Innovation.

i) Makes existing products BETTER

Creates new kind of Product.

ii) Big companies wins at this

New companies wins at this

Faster car

Cheap phone (but every one can buy).



→ PATTERN IS ALWAYS THE SAME

- 1) Big companies make products for their current customers
- 2) New, smaller drive appears (seems useless to current customers).
- 3) Big companies ignore it (smart business decision at the time).
- 4) New companies sell it to new customer in new market.
- 5) New technology improves.
- 6) Eventually new tech good enough for old customers.
- 7) Big companies lose & may die.

PART 5:- Innovator's Dilemma Explained.

The trap

Choice A

Choice B

Make current customers happy

Build a product for NEW market.

Make good profit now

Make small or no profit now

Safe choice

Risky choice

This is what good managers do

This seems foolish

The Problem: choice A leads to failure in the long run

Why its dilemma :-

Doing the RIGHT thing (listening to customers, making profits) leads to the WRONG outcome.

→ This is the Innovator's Dilemma.

Being "Too Good" at listening

The Irony:- i) Big companies listen carefully to customers

ii) Customer say "I don't want that small drive"

iii) Company doesn't make small drive (iv) Company fails when small drive become standard.

The lesson:- some time customers don't know what they'll want tomorrow.

PART 6:- VALUE NETWORKS

What is value network? A world where companies operate with its own rule about:

i) What customers value (speed? size? price) .

ii) How much profit you need to survive .

iii) Who you compete with.

Different Networks, Different Values.

Network

What Customers care about .

i) Mainframe computers

Big capacity, reliable, fast .

ii) Mini computers

Good capacity .

iii) laptops

Small, light, low battery use .



DIFFERENT NETWORKS, DIFFERENT PROFIT

Network	Profit margin Needed
Mainframe	50-60%
Desktop PC	15-20%

Important:- A mainframe company cannot survive on 15% profits. Their costs are too high.

Why this matters:-

- i) Mainframe drives company see laptop drive market.
- ii) Laptop drives only give 15% profit.
- iii) Mainframe need 60% profit.
- iv) New company with low cost enters laptop market.
- v) New company grows, improves, eventually competes with mainframe company.

PART 7:- WHY NEW COMPANIES WIN?

New companies:-

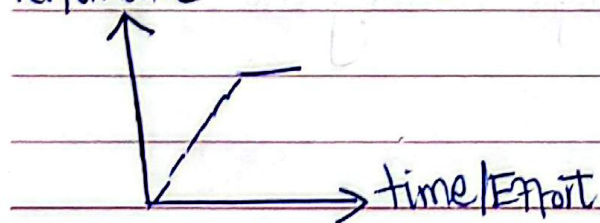
- i) Have no old customers to satisfy
- ii) Have low costs (small office, fewer employees)
- iii) Can survive on small profit
- iv) Can experiment with new ideas
- v) Are not afraid to fail.

BIG Companies

- i) must keep current customers happy
- ii) have high costs
- iii) need high profits to survive
- iv) Can't easily experiment
- v) Are afraid to lose what they have.

PART 8:- THE S-CURVE

Think of Technology progress like "S" shape.



Bottom of S $\rightarrow$ New tech, slow improvement
Middle of S $\rightarrow$ Fast improvement
Top of S $\rightarrow$ Slow improvement (hitting limits).

Sustaining vs Disruptive on S-Curve.

Sustaining Innovation: Moving UP the same curve
 $\rightarrow$ Make current tech better & better.

Disruptive Innovation: Starting a new curve
 $\rightarrow$ New tech starts lower (worse performance)
 $\rightarrow$ But eventually surpasses old technology.

The Mistake Big companies Make.

$\hookrightarrow$ Big companies look at new curve and say.
 $\hookrightarrow$ "This new technology is worse than ours"
 $\hookrightarrow$ Our customers don't want this.

They are right at that moment.

$\rightarrow$ But they don't see that the new curve will eventually go HIGHER than their old curve.

PART 9:- LESSONS FOR MANAGERS.

$\hookrightarrow$ What should big companies do?

Strategy no:- 01 $\rightarrow$

- i) Make a new, small team away from main company
- ii) Let them work on disruptive technology.

Strategy 2:- Make small Investments : 1) Don't bet everything on disruption

Strategy 3:- Accept low profit.

- i) Sometimes you need to enter markets with lower profits
- ii) They may grow into bigger later.
- iii) But invest a little in new markets
- iv) learn & adjust.

Strategy 4:- Better to kill your own product than let someone else kill it.

↳ PART 10:- KEY TAKEAWAYS.

① Good companies fail because they are too good at serving current customers.

② Two types of Innovations

Disruptive: create new kind of product (entrants win)
Sustaining: make existing products better (Incumbents win)

③ Value networks matter:-

↳ Different markets have different rules.

↳ What looks profitable in one looks unprofitable in another.

④ The Innovator's Dilemma:-

↳ Doing the right thing (satisfy customer, make profits) leads to failure.

↳ Doing wrong thing (chase small markets, less profit accept) leads to success

⑤ Success is dangerous:-

- i) Success creates the conditions for failure
- ii) Winners today can be losers tomorrow